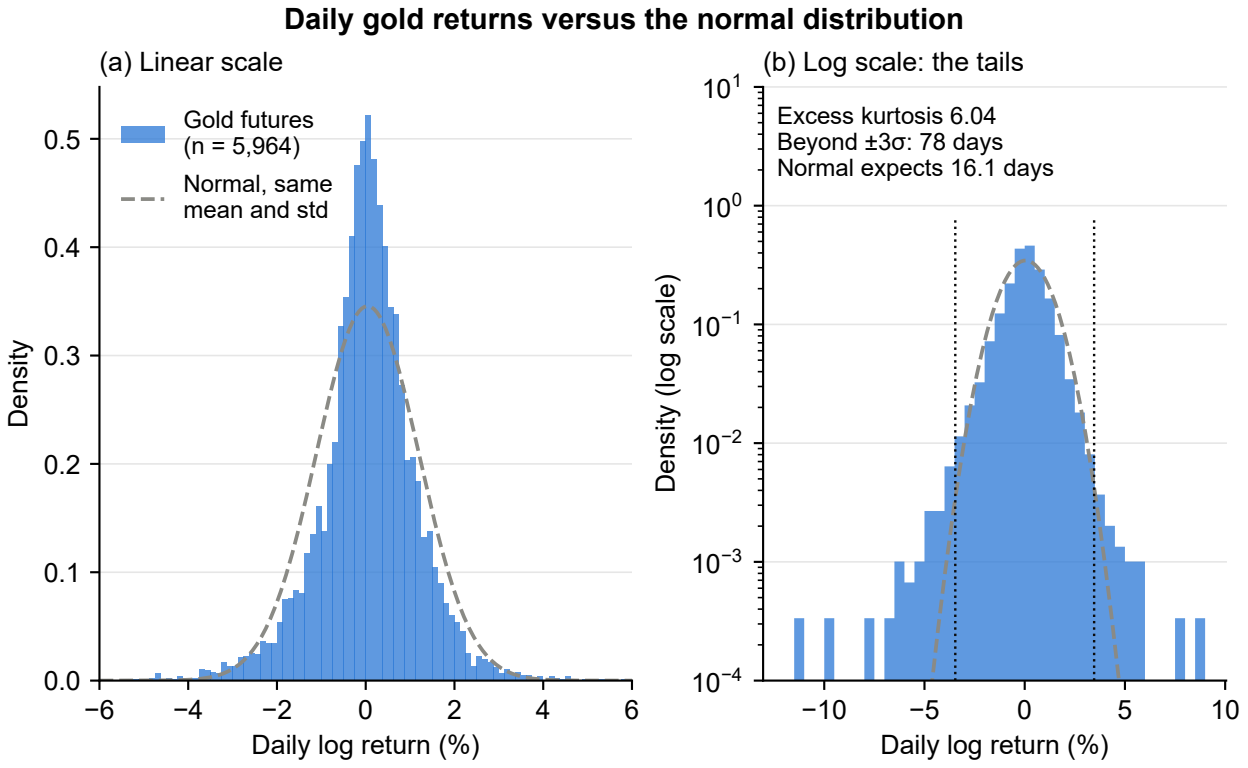
Daily gold returns versus the normal distribution
(a) Linear scale
Gold futures
(n = 5,964)
Normal, same
mean and std
Density
0.0
0.1
0.2
0.3
0.4
0.5
−6
−4
−2
0
2
4
6
Daily log return (%)
(b) Log scale: the tails
Excess kurtosis 6.04
Beyond ±3σ: 78 days
Normal expects 16.1 days
Density (log scale)
10^{1}
10^{0}
10^{-1}
10^{-2}
10^{-3}
10^{-4}
−10
−5
0
5
10
Daily log return (%)